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Comment on Proposed 24X National Exchange LLC (File No. 10-242)

To the Offices of the SEC,

We appreciate the opportunity to comment on 24X National Exchange LLC's application to register as a national securities exchange under Section 6 of the Securities Exchange Act of 1934. They seek to establish an exchange that trades 23 hours per day and seven days a week. Our recent research implies that 23/7 trading will likely improve the market's allocative efficiency relative to the traditional 6.5/5 trading schedule. The most recent version of our work, *Is 24/7 Trading Better?*, can be found on SSRN at https://ssrn.com/abstract=4942934.

Our work is motivated by the technological advancements in algorithmic trading and electronic execution, which have significantly reduced the need for constant human involvement in trading. We model large traders who are managing risky inventory positions that are randomly shocked throughout time, and they rationally anticipate how their trade influences prices. We study welfare, measured by the allocative efficiency of the market, in equilibria of two market designs: one in which there is a daily closure and another in which closure is eliminated. In this context, allocative efficiency is a formal measure of the gap between current and desired positions.

In the model, a market closure not only concentrates liquidity throughout the day but also helps coordinate liquidity, especially towards the end of the trading day. As long as there is a closure for some time, most of the benefits are accrued. The cost of a closure, that traders' positions may deviate far from their desired positions, is generally outweighed by the benefits. Namely, there is always some length of a market closure that would improve on a market design with 24/7 trading. Therefore, our model finds it likely that 24X's proposed 23/7 exchange, which will still maintain the welfare benefits of a market closure while reducing the costs of a prolonged closure, will enhance allocative efficiency. In particular, we find that unless holding costs or the volatility of inventory shocks are drastically lower during the closure than during trading, there are large gains in welfare to be had by extending the length of the trading day.

We caveat that our findings are contingent on the assumptions of our model. While our results are robust to allowing traders to receive heterogeneous signals about asset values, our work is a model of large and homogeneous traders. Specifically, even when we allow for heterogeneous signals, signal quality is homogeneous across traders. Heterogeneous groups of traders, such as retail investors, market makers, and informed traders, may have asymmetric responses to market closures of differing lengths. We encourage the SEC to carefully consider our findings regarding the cost and benefits of 23/7 trading. We thank the SEC for their continued efforts to enhance market efficiency and protect the interests of all market participants.

Sincerely,

Patrick Blonien & Alexander Ober

[1] The opinions expressed are that of the authors and not that of their institutions.